

## WHAT IT INDICATES ?

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Dark cloud cover as the name suggests indicates a trend reversal from bull to bear. We see that the market was in a bull trend and building on that, the asset price opened at a higher price in the next session as well. However, the bears were able to drag the market despite the open to a lower level. As a result, we see the bears gaining significant strength and expect them to build on it and as a result, the trend should reverse. Piercing is the bull version of the same. Here, we can expect the control to shift from bears to bull as the bulls have been able to recover the prices to relatively higher levels despite the control from bears.

## HOW TO TRADE ?

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We will short the asset following dark cloud cover as we expect the bears to get greater control over the market. In the case of piercing, we will long the asset.

In the case of the dark cloud, an analyst can take a position based on the next day's prices i.e. short the same if the asset prices open lower than the previous day's prices. They can also take the position towards the end of the period when the dark cloud cover formation has been formed.

A stop-loss will also be needed. The same can be high or open of the dark cloud candlestick. These are subjective decisions based on the strategy adopted by the analyst and the trader. The same can be followed on the lower side when a piercing formation is created and we can initiate a trade based on the same.

